

in 1987, instead of selling in something of a panic, only to grab other stocks that looked too cheap to pass up. But at the time stoic firmness didn't necessarily seem like the best response. What was happening was very, very frightening, and when you're that frightened, it's hard to tell calmness from paralysis. I just felt I had to do *something*. When a stock was 40 on Monday and it's 22 on Tuesday, you can't just stand there.

Some market commentators say that 1987 taught a bad lesson. Too many people, seeing the market right itself so rapidly after its fall, concluded that all breaks are quickly healed. They don't understand that some bear markets last for years.

But I think the lesson was probably a healthy one. Very dramatic events like October 1987, or even extended stretches of low returns, don't mean a great deal in the long run. Anyway, you can't predict when the bad times are coming. How many pundits were wailing at the end of 1994 that the market was too high and poised for another October 1987? Then the Dow Industrials proceeded to skyrocket 37 percent in 1995 and another 29 percent in 1996. You can't predict how long the bad times will last either. So you might just as well stay invested.

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The October crash made heroes of some timers who had been crying out warnings during the summer and early fall. But most of them failed to get back in, and their names are now forgotten. I know of several investors with considerable portfolios who were so terrified by the 1987 break that they used the subsequent rally to